

ANALYST MEMO--

TRADEZONE PERFORMANCE REVIEW (2023–2024) BY @CHOCOLATEE

1. Executive Summary

TradeZone experienced strong revenue growth between 2023 and 2024, with Q4 showing the highest increase, indicating strong seasonal demand. However, this growth is uneven — revenue is heavily concentrated among a small group of high-spending customers, and customer conversion varies significantly by region. These patterns suggest that while the platform is growing, there are underlying risks in customer retention, revenue distribution, and regional performance.

2. Key Findings

❖ Revenue is highly concentrated among a small group of customers (Q5)

High spenders ($\geq \text{₦}100,000$) contributed over $\text{₦}416\text{M}$ in revenue, while medium and low spenders combined contributed less than $\text{₦}6\text{M}$. This shows that the majority of revenue is coming from a very small segment of customers.

What this means: The business is heavily dependent on a small group of users, which creates a concentration risk. If these customers reduce their activity, overall revenue could drop significantly. At the same time, the underdeveloped mid-tier segment suggests a missed opportunity to grow more stable, repeat revenue.

❖ Customer acquisition does not always translate to conversion (Q1)

Lagos recorded both the highest sign-ups and strongest conversion rates, making it the primary growth driver. However, states like Oyo and Kano showed relatively lower conversion rates despite having a good number of sign-ups.

What this means: Getting users onto the platform is not the main issue — converting them into paying customers is. Regional differences suggest that factors like payment preferences (e.g., reliance on cash on delivery) or trust barriers may be affecting early purchase behavior.

❖ Product revenue is dominated by a single category (Q2)

All top 10 revenue-generating products fall within the Electronics category, indicating a strong concentration of revenue in one category.

What this means: While electronics are performing well, this creates category dependency. If demand shifts or competition increases in this category, overall platform revenue could be affected. Other categories are currently underperforming and may require strategic attention.

3. Recommendations

❖ Strengthen customer conversion in low-performing states

Action: Introduce targeted onboarding incentives (e.g., first-purchase discounts or free delivery) in states like Oyo and Kano, and promote trusted payment options.

Responsible Team: Growth Team

Expected Outcome (60–90 days): Increase conversion rates in these regions by improving first-time purchase behavior and reducing friction related to trust or payment preferences.

❖ Develop mid-tier customer segment through targeted upselling

Action: Implement personalized offers and product bundles aimed at low and medium spenders to gradually increase their spending.

Responsible Team: Growth & Marketing Team

Expected Outcome (60–90 days): Increase the number of medium spenders and reduce over-reliance on high spenders, leading to a more balanced and sustainable revenue distribution.

4. Data Quality Notes

One major issue identified was the presence of NULL values in revenue-related fields, particularly in `line_total`. This resulted in some products having order counts but missing revenue. To handle this, missing values were treated as zero during analysis using COALESCE. If this assumption is incorrect, total revenue figures may be understated.

Another issue was inconsistent product and location data, including misspelled categories and city names. These were standardized during cleaning to ensure accurate grouping. If incorrectly standardized, some categories or regions may have been misrepresented in the analysis.

5. What the Data Cannot Tell Us

One key question this dataset cannot answer is:

- Why customers are not converting after sign-up.

The current data shows what is happening, but not why. To answer this, additional data such as:

- user behavior (clicks, session activity)
- abandoned carts
- payment failure rates

would be required. This would allow deeper insight into customer decision-making and friction points in the purchase journey.